EXECUTIVE SUMMARY

A. Introduction

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

The audit covered the accounts and operations of the Municipality of Gonzaga for the year 2019 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2019 were P 545,080,779.02, P76,948,086.67and P 468,132,692.35 with an increase in assets, liabilities and government equity of 4%, 0.20% and 5%, respectively, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P217,772,319.49 and P 205,600,289.76 which increased by 9% and 21%, respectively, from last year's figures.

	2019	2018	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	545,080,779.02	523,664,396.78	21,416,382.24	4.00%
Liabilities	76,948,086.67	76,794,814.48	153,272.19	0.20%
Government Equity	468,132,692.35	446,869,582.30	21,263,110.05	5.00%
Financial Performance				
Income	217,772,319.49	199,052,338.47	18719981.02	9.00%
Expenses	205,600,289.76	169,854,711.83	35745577.93	21.00%
Appropriations, Allotments and Obligations				
Appropriations-Current	252,847,226.42	234,694,017.90	18,153,208.52	7.70%
Appropriations-Continuing	25,781,443.81			
Allotments-Current	252,847,226.42	234,694,017.90	18,153,208.52	7.70%
Allotments-Continuing	25,781,443.81			
Obligations-Current	200,084,038.85	184,331,756.66	15,752,282.19	8.55%
Obligations-Continuing	12,563,398.09			

C. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the Property Plant and Equipment Account due to (1) unreconciled difference of P330,112,942.02 between the Report on Physical Count of Property, Plant and Equipment (RPCPPE) and the books of account; (2) non-compliance of the Municipality with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 100% compliance at the end of calendar year 2019 pursuant to Item IX of COA Circular No. 2015-008 dated November 23, 2015; and (3) non-provision of depreciation of Property, Plant and Equipment (PPE) totaling to P29,318,602.22 and the inappropriate recording of various expenses to "Other Maintenance and Other Operating Expenses" account thus affecting the reliability and accuracy of Property, Plant and Equipment account and the Other Maintenance and Other Operating Expenses" account amounting to P302,734,262.58 and P21,541,664.88, respectively.

Summary of Significant Audit Observations and Recommendations

1. The balances of Property, Plant and Equipment (PPE) accounts amounting to P417,090,355.37 as of December 31, 2019 showed an unreconciled difference of P330,112,942.02 with that of the Report on Physical Count of Property, Plant and Equipment (RPCPPE) contrary to Paragraph 27 of International Public Sector Accounting Standards (IPSAS) 1 and the Manual on New Government Accounting System (NGAS) for Local Government Units (LGUs) Volume, thus casting doubt on the reliability, accuracy and existence of PPE accounts presented in the Financial Position at year end.

   We recommended management the following:

   a. The Inventory Committee should conduct annual physical inventory to include all the PPEs of the LGU and prepare properly and completely the corresponding RPCPPE;

   b. The Accounting and General Services Offices should maintain Property Ledger Cards and Property Cards, respectively, for all PPE accounts;

   c. The Accounting and General Services Offices should reconcile their records to obtain the accurate value of the PPE and such be presented fairly in the financial statements.

2. The municipality was not able to comply with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 100% compliance at the end of calendar year 2019 as required under Item IX of COA Circular No. 2015-008 dated November 23, 2015 due to non-conduct of inventory of its local road networks, thus affecting the fair presentation of the "Road Network" account amounting to P83,667,799.98 as at

December 31, 2019.

We recommended that management strictly comply with the guidelines embodied in the COA Circular No. 2015-008 dated November 25, 2015 by ensuring the following:

a. General Service Officer maintains and updates a Local Road Inventory and Road Map and keep a complete Local Road Network Property Card for all road and its component

b. Municipal Engineer provides the Municipal Accountant and the General Services Officer with the complete description and cost segregation of road components of road projects

c. Municipal Accountant ensures compliance with the transitory provisions of the Circular by updating the records of the Road Network account, keeps and maintains subsidiary records for roads and road components for every road network and makes the required disclosure in the Notes to Financial Statement.

3. The accuracy and validity of recorded balances of Property, Plant and Equipment (PPE) totaling to P29,318,602.22 could not be ascertained due to non-provision of depreciation contrary to International Public Sector Accounting Standard (IPSAS) 17 "Property Plant Equipment", thereby affecting the carrying value of PPE as at year end.

   We recommended the Municipal Accountant to compute the depreciation on the subject-accounts and make the necessary adjustment on the affected accounts. Henceforth, depreciation must be computed for all the PPE accounts of the LGU periodically to ensure fair presentation of depreciation and related accounts in the financial statements. We also recommended the Municipal Accountant to revisit PPSAS 17 which prescribes the accounting treatment for property plant and equipment.

4. Various expenditures amounting to P21,541,664.88 were classified as "Other Maintenance and Operating Expenses" account instead of the appropriate asset or expense accounts contrary to Annexes A and B of the COA Circular No. 2015-009 dated December 1, 2015 resulting in the overstatement of the "Other Maintenance and Other Operating Expenses" account and understating asset and other appropriate expense accounts in the financial statements.

   We recommended that the Municipal Accountant refrain from recording expenses under the "Other Maintenance and Operating Expenses" account for which

specific accounts have been provided in the Revised Chart of Accounts for LGU's as prescribed in COA Circular No. 2015-009 dated December 1, 2015, thereby fairly present the actual expenditures under their proper accounts in the financial statements.

D. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	2,869,126.58		2,869,126.58	-	-
Current Year	-	-	-	-	
Total	**-**	**-**		**-**	
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

E. Status of Implementation of Prior Year's Audit Recommendations

Out of the seventeen (17) audit recommendations embodied in the 2018 Annual Audit Report, eight (8) were fully implemented, five (5) were partially implemented and four (4) were not implemented as of December 31, 2019.